



Certification of Appraiser Independence

Borrower Name: Selvakumar Sembaiyan
Property Address: 117 Synandra Drive # C Mooresville NC 28117
Loan number: 8161235201
Date: 2023-03-27

The Lender certifies that the above referenced appraisal has been completed in compliance with all current appraisal independence requirements as defined by the Dodd-Frank Wall Street Reform and Consumer Protection Act, the Interagency Appraisal and Evaluation Guidelines, Fannie Mae, Freddie Mac and the Federal Housing Administration, in strict adherence to our non-influence policy and process:

- No employee, director, officer or agent of the lender or any other third party acting as joint venture partner, independent contractor, appraisal company, appraisal management company or partner on behalf of the lender has influenced or attempted to influence the development, reporting, result, or review of the appraisal in any manner.
- The Lender/Client named on the appraisal report submitted the appraisal order through a secure self-managed appraisal software platform, or through approved and compliant 3rd party integration.
- Appraiser selection was performed by a non-compensated member of the Lender. Appraiser selection was performed utilizing a selection methodology of management-approved policies based on the location of the subject property, appraiser availability and historical quality and performance metrics.
- The appraiser's compensation was not in any way dependent on the value arrived at or the closing of the loan. The appraiser was compensated directly by the Lender and not by a Lender staff member that receives compensation based on loan sales.
- The terms and conditions of the engagement contract between the Lender and the appraiser prohibit the appraiser from inappropriate communication with the Lender origination staff or attempting to obtain value/loan information from the borrower/property owner.
- No estimate regarding the Subject Property's value, proposed loan amount or proposed loan-to-value ratio was provided or communicated by the Lender to the appraiser.
- For all transactions: By proper use of a secure self-managed appraisal software platform, the Lender's loan production staff is unaware of the identity of the appraiser until the final appraisal report is delivered. Likewise the appraiser is provided with only the Lender's company name and address for inclusion in the appraisal report and is never provided with the identity or contact information of the originator of the loan. For purchase transactions, the purchase agreement was provided to the appraiser as required by USPAP Standards Rule 1-5(a).
- All communication between the selected appraiser and The Lender was conducted through the Lender's Appraisal Department. The Lender is unaware of any communication to the appraiser for this appraisal assignment made by anyone that is in violation of the terms of current Appraiser Independence Requirements.



APPRAISAL OF REAL PROPERTY

LOCATED AT:

117 Synandra Dr Unit C
Lot 10 Waterlynn Grove, PB 69-76
 Mooresville, NC 28117

FOR:

Highlands Residential Mortgage
950 W Bethany Dr, Suite 800
Allen, TX 75013

AS OF:

03/27/2023

BY:

Ted Williams
Williams Appraisal Service, Inc.
304 Gethsemane Road
Olin, NC 28660

Borrower	Selvakumar Sembaiyan				File No. W23088	
Property Address	117 Synandra Dr Unit C					
City	Mooresville	County	Iredell	State	NC	Zip Code 28117
Lender/Client	Highlands Residential Mortgage					

TABLE OF CONTENTS

Cover Page	1
Supplemental Addendum	2
USPAP Compliance Addendum	3
Summary of Salient Features	4
URAR	5
Reconciliation Addendum	11
Market Conditions Addendum to the Appraisal Report	12
Supplemental Addendum	13
Plat Map	14
Building Sketch	15
Subject Photos	16
Photograph Addendum	17
Comparable Photos 1-3	18
Location Map	19
Aerial Map	20
License	21
UAD Definitions Addendum	22

Letter of Transmittal

File No. W23088

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				

Dear Client,

Pursuant to your request, I have prepared an appraisal report of the property captioned in the "Summary of Salient Features" which follows. The accompanying report is based on a site inspection of improvements, investigation of the subject neighborhood area of influence, and a review of sales, cost and income data for similar properties.

This appraisal has been made with particular attention paid to applicable value-influencing economic conditions and has been processed in accordance with nationally recognized appraisal guidelines.

The value conclusions stated herein are as of the effective date as stated in the body of the appraisal, and contingent upon the certification and limiting conditions attached.

This report is intended for use only by the client indicated. Use of this report by others is not intended by your appraiser. This report is intended for use only in mortgage lending. This report is not intended for any other use.

The appraiser has not identified any purchaser, borrower or seller as an intended user of this appraisal, and no such party should use or rely on this appraisal for any purpose. Such parties are advised to obtain an appraisal from an appraiser of their own choosing if they require an appraisal for their own use. Any reference to or use of this appraisal report by a purchaser, borrower or seller for their own purposes, including without limitation for the purposes of a property purchase decision or an appraisal contingency in a purchase agreement, is at such party's own risk and is not intended or authorized by the appraiser.

Please do not hesitate to contact me or any of my staff if we can be of additional service to you.

Sincerely,

Ted M. Williams, A4979

USPAP Compliance Addendum

Loan #
File # W23088

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				

APPRAISAL AND REPORT IDENTIFICATION

This Appraisal Report is one of the following types:

☒ Appraisal Report

This report was prepared in accordance with the requirements of the Appraisal Report option of USPAP Standards Rule 2-2(a).

☐ Restricted Appraisal Report

This report was prepared in accordance with the requirements of the Restricted Appraisal Report option of USPAP Standards Rule 2-2(b), and is intended only for the use of the client and any other named intended user(s). Users of this report must clearly understand that the report may not contain supporting rationale for all of the opinions and conclusions set forth in the report.

ADDITIONAL CERTIFICATIONS

I certify that, to the best of my knowledge and belief:

☐ The statements of fact contained in this report are true and correct.

☐ The report analyses, opinions, and conclusions are limited only by the reported assumptions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.

☐ I have no (or the specified) present or prospective interest in the property that is the subject of this report and no (or specified) personal interest with respect to the parties involved.

☐ I have no bias with respect to the property that is the subject of this report or the parties involved with this assignment.

☐ My engagement in this assignment was not contingent upon developing or reporting predetermined results.

☐ My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

☐ My analyses, opinions, and conclusions were developed and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice.

☐ This appraisal report was prepared in accordance with the requirements of Title XI of FIRREA and any implementing regulations.

PRIOR SERVICES

☒ I have NOT performed services, as an appraiser or in any other capacity, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

☐ I HAVE performed services, as an appraiser or in another capacity, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment. Those services are described in the comments below.

PROPERTY INSPECTION

☐ I have NOT made a personal inspection of the property that is the subject of this report.

☒ I HAVE made a personal inspection of the property that is the subject of this report.

APPRAISAL ASSISTANCE

Unless otherwise noted, no one provided significant real property appraisal assistance to the person signing this certification. If anyone did provide significant assistance, they are hereby identified along with a summary of the extent of the assistance provided in the report.

ADDITIONAL COMMENTS

Additional USPAP related issues requiring disclosure and/or any state mandated requirements: Scope of Work: This report is based on a site inspection and an inspection of the improvements (if any) which are located on the site, investigation of the subject neighborhood area of influence, and a review of sales, listings and cost data. This appraisal has been made with particular attention paid to applicable value-influencing economic conditions including supply and demand and has been processed in accordance with nationally recognized appraisal guidelines. The definition of Market Value used within this report is cited from Fannie Mae and is located within the body of this report. I have analyzed data from public and private sources which are considered to be reliable sources. The highest and best use of the subject property was analyzed and included consideration of the following: 1) legally permitted, 2) financially feasible, 3) physically possible, and 4) most profitable. The value conclusions stated herein are as of the effective date as stated in the body of the appraisal, and contingent upon the certification and limiting conditions attached. This report is intended for use only by the client indicated herein. Use of this report by others is not intended by your appraiser. This report is intended for use only in mortgage lending. This report is not intended for any other use.

MARKETING TIME AND EXPOSURE TIME FOR THE SUBJECT PROPERTY

☒ A reasonable marketing time for the subject property is 30 day(s) utilizing market conditions pertinent to the appraisal assignment.

☒ A reasonable exposure time for the subject property is 30 day(s).

APPRAISER

Signature
Name Ted Williams
Date of Signature 03/28/2023
State Certification # A4979
or State License #
State NC
Expiration Date of Certification or License 06/30/2023
Effective Date of Appraisal 03/27/2023



SUPERVISORY APPRAISER (ONLY IF REQUIRED)

Signature
Name
Date of Signature
State Certification #
or State License #
State
Expiration Date of Certification or License
Supervisory Appraiser Inspection of Subject Property

☐ Did Not ☐ Exterior-only from Street ☐ Interior and Exterior

SUMMARY OF SALIENT FEATURES

SUBJECT INFORMATION	Subject Address	117 Synandra Dr Unit C
	Legal Description	Lot 10 Waterlynn Grove, PB 69-76
	City	Mooreville
	County	Iredell
	State	NC
	Zip Code	28117
	Census Tract	0616.03
	Map Reference	4656 03 4914
SALES PRICE	Sale Price	\$ 348,000
	Date of Sale	03/17/2023
CLIENT	Borrower	Selvakumar Sembaiyan
	Lender/Client	Highlands Residential Mortgage
DESCRIPTION OF IMPROVEMENTS	Size (Square Feet)	1,710
	Price per Square Foot	\$ 203.51
	Location	N;Res;
	Age	3
	Condition	C3
	Total Rooms	6
	Bedrooms	3
	Baths	2.1
APPRAISER	Appraiser	Ted Williams
	Date of Appraised Value	03/27/2023
VALUE	Final Estimate of Value	\$ 351,000

Uniform Residential Appraisal Report

File # W23088

SUBJECT

CONTRACT

NEIGHBORHOOD

SITE

IMPROVEMENTS

The purpose of this summary appraisal report is to provide the lender/client with an accurate, and adequately supported, opinion of the market value of the subject property.

Property Address	117 Synandra Dr Unit C	City	Mooresville	State	NC	Zip Code	28117
Borrower	Selvakumar Sembaiyan	Owner of Public Record	Tatyana Litchfield	County	Iredell		
Legal Description	Lot 10 Waterlynn Grove, PB 69-76						
Assessor's Parcel #	4656 03 4914	Tax Year	2022	R.E. Taxes \$	2,796		
Neighborhood Name	Waterlynn Grove	Map Reference	4656 03 4914	Census Tract	0616.03		
Occupant	☒ Owner ☐ Tenant ☐ Vacant	Special Assessments \$	0	☒ PUD	HOA \$	152	☐ per year ☒ per month
Property Rights Appraised	☒ Fee Simple ☐ Leasehold ☐ Other (describe)						
Assignment Type	☒ Purchase Transaction ☐ Refinance Transaction ☐ Other (describe)						
Lender/Client	Highlands Residential Mortgage	Address	950 W Bethany Dr, Suite 800, Allen, TX 75013				
Is the subject property currently offered for sale or has it been offered for sale in the twelve months prior to the effective date of this appraisal? ☒ Yes ☐ No							
Report data source(s) used, offering price(s), and date(s). DOM 13;According to MLS, the subject property was listed on 03/04/2023 for \$357,000. It was reduced to \$353,000 on 03/10/2023 and reduced to the current list price of \$349,900 on 03/11/23.							

I ☒ did ☐ did not analyze the contract for sale for the subject purchase transaction. Explain the results of the analysis of the contract for sale or why the analysis was not performed. Arms length sale;Typical contract. Fully executed.

Contract Price \$	348,000	Date of Contract	03/17/2023	Is the property seller the owner of public record?	☒ Yes ☐ No	Data Source(s)	Public records
Is there any financial assistance (loan charges, sale concessions, gift or downpayment assistance, etc.) to be paid by any party on behalf of the borrower? ☐ Yes ☒ No							
If Yes, report the total dollar amount and describe the items to be paid. \$0;;							

Note: Race and the racial composition of the neighborhood are not appraisal factors.

Neighborhood Characteristics		One-Unit Housing Trends		One-Unit Housing		Present Land Use %	
Location	☐ Urban ☒ Suburban ☐ Rural	Property Values	☐ Increasing ☒ Stable ☐ Declining	PRICE	AGE	One-Unit	70 %
Built-Up	☒ Over 75% ☐ 25-75% ☐ Under 25%	Demand/Supply	☐ Shortage ☒ In Balance ☐ Over Supply	\$ (000)	(yrs)	2-4 Unit	%
Growth	☐ Rapid ☒ Stable ☐ Slow	Marketing Time	☒ Under 3 mths ☐ 3-6 mths ☐ Over 6 mths	115	Low 2	Multi-Family	30 %
Neighborhood Boundaries The subject neighborhood is located north of Waterlynn Road, south of Foursquare Road, east of Charlotte Hwy. (Hwy 21) and west of Highway 115.				540	High 18	Commercial	%
Neighborhood Description The subject property is located off of Synandra Dr within the Waterlynn Grove Subdivision inside the town limits of Mooresville, NC. The neighborhood consists of detached single family home and attached town homes that are good in quality construction and workmanship. Amenities include a water park, Jr. Olympic swimming pool, playground, bike trails, lights, sidewalks, etc.				272	Pred. 11	Other	%
Market Conditions (including support for the above conclusions) 15 to 30 year financing is readily available to qualified applicants. The demand/supply, marketing time, and financing concessions are typical for the subject neighborhood and surrounding areas. Your appraiser is not aware of any adverse conditions which affect property values in the subject's competitive market area.							

Dimensions	See Attached Sketch.	Area	2022 sf	Shape	Irregular	View	N;Res;
Specific Zoning Classification	CU CM	Zoning Description	Conditional Use Corridor Mixed Use				
Zoning Compliance	☒ Legal ☐ Legal Nonconforming (Grandfathered Use) ☐ No Zoning ☐ Illegal (describe)						
Is the highest and best use of subject property as improved (or as proposed per plans and specifications) the present use? ☒ Yes ☐ No If No, describe Based on							
current zoning and surrounding properties, single family residential is considered to be the highest and best use.							
Utilities	Public Other (describe)	Public Other (describe)	Off-site Improvements - Type		Public	Private	
Electricity	☒ ☐	Water	☒ ☐	Street Asphalt	☒ ☐		
Gas	☒ ☐	Sanitary Sewer	☒ ☐	Alley None	☐ ☐		
FEMA Special Flood Hazard Area	☐ Yes ☒ No	FEMA Flood Zone	X	FEMA Map #	37097C4656J	FEMA Map Date	03/18/2008
Are the utilities and off-site improvements typical for the market area? ☒ Yes ☐ No If No, describe							
Are there any adverse site conditions or external factors (easements, encroachments, environmental conditions, land uses, etc.)? ☐ Yes ☒ No If Yes, describe							
The client should refer to a current physical survey of the subject property to verify the exact location of any easements, encroachments, flood plain boundaries, legal access, improvements and well systems. No survey provided.							

General Description	Foundation	Exterior Description	materials/condition	Interior	materials/condition
Units ☒ One ☐ One with Accessory Unit	☒ Concrete Slab ☐ Crawl Space	Foundation Walls	Concrete/Avg.	Floors	Vin Plk,Cpt,Tile/Avg
# of Stories 2	☐ Full Basement ☐ Partial Basement	Exterior Walls	Vinyl Sid,Stone/Avg.	Walls	Drywall/Avg.
Type ☐ Det. ☒ Att. ☐ S-Det./End Unit	Basement Area 0 sq.ft.	Roof Surface	Shingles/Avg.	Trim/Finish	Wood/Avg.
☒ Existing ☐ Proposed ☐ Under Const.	Basement Finish 0 %	Gutters & Downspouts	Aluminum/Avg.	Bath Floor	Tile,Vin Plk/Avg.
Design (Style) Townhome	☐ Outside Entry/Exit ☐ Sump Pump	Window Type	SH Vinyl/Avg.	Bath Wainscot	Tile,Fiberglass/Avg.
Year Built 2020	Evidence of ☐ Infestation Unknown	Storm Sash/Insulated	Insulated/Avg.	Car Storage	☐ None
Effective Age (Yrs) 1	☐ Dampness ☐ Settlement	Screens	Yes/Avg.	☒ Driveway	# of Cars 1
Attic ☐ None	Heating ☒ FWA ☐ HWBB ☐ Radiant	Amenities	☐ Woodstove(s) # 0	Driveway Surface	Concrete
☒ Drop Stair ☐ Stairs	☐ Other Fuel Gas	☐ Fireplace(s) # 0	☒ Fence Vinyl	☒ Garage	# of Cars 1
☐ Floor ☐ Scuttle	Cooling ☒ Central Air Conditioning	☒ Patio/Deck CPTo	☒ Porch Covered	☐ Carport	# of Cars 0
☐ Finished ☐ Heated	☐ Individual ☐ Other	☐ Pool None	☐ Other None	☒ Att.	☐ Det. ☐ Built-in
Appliances ☐ Refrigerator ☒ Range/Oven ☒ Dishwasher ☒ Disposal ☒ Microwave ☐ Washer/Dryer ☐ Other (describe)					
Finished area above grade contains: 6 Rooms 3 Bedrooms 2.1 Bath(s) 1,710 Square Feet of Gross Living Area Above Grade					
Additional features (special energy efficient items, etc.). Crown molding, quartz counter tops, kitchen island, tray ceiling, etc.					
Describe the condition of the property (including needed repairs, deterioration, renovations, remodeling, etc.). C3;No updates in the prior 15 years;The dwelling is in average condition with no repairs or remodeling considered to be needed.					
Are there any physical deficiencies or adverse conditions that affect the livability, soundness, or structural integrity of the property? ☐ Yes ☒ No If Yes, describe					
None noted by your appraiser by the naked eye.					
Does the property generally conform to the neighborhood (functional utility, style, condition, use, construction, etc.)? ☒ Yes ☐ No If No, describe					

Freddie Mac Form 70 March 2005

UAD Version 9/2011 Page 1 of 6

Fannie Mae Form 1004 March 2005

Form 1004UAD - "TOTAL" appraisal software by a la mode, inc. - 1-800-ALAMODE

Uniform Residential Appraisal Report

File # W23088

There are 1 comparable properties currently offered for sale in the subject neighborhood ranging in price from \$ 330,000 to \$ 330,000 .

There are 5 comparable sales in the subject neighborhood within the past twelve months ranging in sale price from \$ 330,000 to \$ 401,000 .

FEATURE	SUBJECT	COMPARABLE SALE # 1		COMPARABLE SALE # 2		COMPARABLE SALE # 3	
Address	117 Synandra Dr Unit C Mooreville, NC 28117	117 Synandra Dr Unit B Mooreville, NC 28117		114 Synandra Dr Unit B Mooreville, NC 28117		113 Synandra Dr Unit D Mooreville, NC 28117	
Proximity to Subject		0.00 miles		0.02 miles S		0.02 miles SW	
Sale Price	\$ 348,000		\$ 342,000		\$ 357,000		\$ 360,000
Sale Price/Gross Liv. Area	\$ 203.51 sq.ft.	\$ 201.89 sq.ft.		\$ 211.24 sq.ft.		\$ 214.93 sq.ft.	
Data Source(s)		CMLS # 4005928;DOM 6		CMLS # 3887330;DOM 11		CMLS # 3850007;DOM 3	
Verification Source(s)		Deed Book 2981 Page 2066		Deed Book 2944 Page 1654		Deed Book 2926 Page 510	
VALUE ADJUSTMENTS	DESCRIPTION	DESCRIPTION	+(-) \$ Adjustment	DESCRIPTION	+(-) \$ Adjustment	DESCRIPTION	+(-) \$ Adjustment
Sales or Financing		ArmLth		ArmLth		ArmLth	
Concessions		Cash;0		Conv;2500	-2,500	Conv;0	
Date of Sale/Time		s03/23;c03/23		s09/22;c08/22		s06/22;c05/22	
Location	N;Res;	N;Res;		N;Res;		N;Res;	
Leasehold/Fee Simple	Fee Simple	Fee Simple		Fee Simple		Fee Simple	
Site	2022 sf	1882 sf	0	1803 sf	0	1690 sf	0
View	N;Res;	N;Res;		N;Res;		N;Res;	
Design (Style)	AT2;Townhome	AT2;Townhome		AT2;Townhome		AT2;Townhome	
Quality of Construction	Q3	Q3		Q3		Q3	
Actual Age	3	3		2	0	2	0
Condition	C3	C3		C3		C3	
Above Grade	Total Bdrms. Baths	Total Bdrms. Baths		Total Bdrms. Baths		Total Bdrms. Baths	
Room Count	6 3 2.1	6 3 2.1		6 3 2.1		6 3 2.1	
Gross Living Area	1,710 sq.ft.	1,694 sq.ft.	0	1,690 sq.ft.	0	1,675 sq.ft.	0
Basement & Finished Rooms Below Grade	0sf	0sf		0sf		0sf	
Functional Utility	Average	Average		Average		Average	
Heating/Cooling	FWA/Central	FWA/Central		FWA/Central		FWA/Central	
Energy Efficient Items	Normal	Normal		Normal		Normal	
Garage/Carport	1ga1dw	1ga1dw		1ga1dw		1ga1dw	
Porch/Patio/Deck	CPch,CPto	CPch,CPto		CPch,SPch	0	CPch,SPch	0
Net Adjustment (Total)		☐ + ☐ -	\$ 0	☐ + ☒ -	\$ -2,500	☐ + ☐ -	\$ 0
Adjusted Sale Price of Comparables		Net Adj. 0.0 %		Net Adj. 0.7 %		Net Adj. 0.0 %	
		Gross Adj. 0.0 %	\$ 342,000	Gross Adj. 0.7 %	\$ 354,500	Gross Adj. 0.0 %	\$ 360,000

I ☒ did ☐ did not research the sale or transfer history of the subject property and comparable sales. If not, explain

My research ☒ did ☐ did not reveal any prior sales or transfers of the subject property for the three years prior to the effective date of this appraisal.

Data Source(s) Public records

My research ☐ did ☒ did not reveal any prior sales or transfers of the comparable sales for the year prior to the date of sale of the comparable sale.

Data Source(s) Public records

Report the results of the research and analysis of the prior sale or transfer history of the subject property and comparable sales (report additional prior sales on page 3).

ITEM	SUBJECT	COMPARABLE SALE #1	COMPARABLE SALE #2	COMPARABLE SALE #3
Date of Prior Sale/Transfer	11/19/2022			
Price of Prior Sale/Transfer	\$271,000			
Data Source(s)	Deed Book 2755 Page 1964	Public records	Public records	Public records
Effective Date of Data Source(s)	03/28/2023	03/28/2023	03/28/2023	03/28/2023

Analysis of prior sale or transfer history of the subject property and comparable sales The subject property was purchased by the current owner on 11/19/2022 for \$271,000, Deed Book 2755 Page 1964. No prior sales of the comparable sales within one year of current sale.

Summary of Sales Comparison Approach The three sales adjusted above provide a strong indication of value for the subject property. All are similar townhomes in the Waterlynn Grove Complex. Due to limited sales in the subject subdivision, appraiser is unable to bracket the square footage No adjustments are considered to be needed other than the seller concession on Sale 2. The indicated value is a weighted average of the three sales based on the gross adjustments made. See reconciliation addendum.

Indicated Value by Sales Comparison Approach \$ 351,000

Indicated Value by: Sales Comparison Approach \$ 351,000 Cost Approach (if developed) \$ Income Approach (if developed) \$

Final estimate of value is based on the Sales Comparison Analysis. The Cost Approach is not provided due to the uncertainty and reliability in older homes. The Income Approach was examined and not considered meaningful due to limited comparable market data for the area.

This appraisal is made ☒ "as is", ☐ subject to completion per plans and specifications on the basis of a hypothetical condition that the improvements have been completed, ☐ subject to the following repairs or alterations on the basis of a hypothetical condition that the repairs or alterations have been completed, or ☐ subject to the following required inspection based on the extraordinary assumption that the condition or deficiency does not require alteration or repair:

Based on a complete visual inspection of the interior and exterior areas of the subject property, defined scope of work, statement of assumptions and limiting conditions, and appraiser's certification, my (our) opinion of the market value, as defined, of the real property that is the subject of this report is \$ 351,000 , as of 03/27/2023 , which is the date of inspection and the effective date of this appraisal.

Freddie Mac Form 70 March 2005 UAD Version 9/2011 Page 2 of 6 Fannie Mae Form 1004 March 2005 Form 1004UAD - "TOTAL" appraisal software by a la mode, inc. - 1-800-ALAMODE

Uniform Residential Appraisal Report

File # W23088

ADDITIONAL COMMENTS

The enclosed sketch is based on ANSI Z765-2021. The GLA measurements and calculations contained within the sketch file were created by onsite measurements. The measurements are reported to the nearest tenth of a foot (or nearest inch) and rounded to the nearest whole foot. If there is below-grade space: ANSI requires a clear and separate distinction of above-grade and below-grade areas.

Additional information used in the preparation of this report which is not contained within the appraisal file can be found in other places within the appraisal office. The Canopy MLS system was used to research subject listing history and to research comparable sales and listings. The highest and best use of the subject property was analyzed and included consideration of the following: 1) legally permitted, 2) financially feasible, 3) physically possible, and 4) most profitable. The subject current use is single family residential and is considered to be highest and best use of the subject property in your appraiser's estimation.

The subject property has easy access to schools, shopping, entertainment, highways, hospitals, etc.

In cases where comparable sales are utilized that are greater than six months old or they are greater than one mile from the subject, they represent the best sales available in your appraiser's opinion, given the comparable data available to your appraiser.

The subject property was occupied at the time of inspection. All utilities appeared to be on and in working order.

The final estimate for the subject property is above the predominant value for residential properties in this market area as shown on Page 1 of the report. The subject property is not unique, is not an over improvement and is within the stated price range for homes in this area. The fact that the subject does not represent the predominant value has no adverse effect on the subject's value or marketability.

The appraised value differs from the contract value based on comparable market data in the area.

All adjustments are based off of market data using matched pair analysis when available, discussions with realtors in the area and knowledge of the market based on 24 years appraisal experience.

COST APPROACH

COST APPROACH TO VALUE (not required by Fannie Mae)

Provide adequate information for the lender/client to replicate the below cost figures and calculations.

Support for the opinion of site value (summary of comparable land sales or other methods for estimating site value)

The estimated site value was derived from various sources including the local MLS, private sales and/or knowledge of the local market.

ESTIMATED	☐ REPRODUCTION OR	☐ REPLACEMENT COST NEW	OPINION OF SITE VALUE	= \$	60,000		
Source of cost data			DWELLING	Sq.Ft. @ \$	= \$		
Quality rating from cost service			Effective date of cost data	Sq.Ft. @ \$	= \$		
Comments on Cost Approach (gross living area calculations, depreciation, etc.)				= \$			
Due to the age of the home and the varying trend in land values and material and construction costs as well as market competition, the Cost Approach was examined but not considered particularly applicable. The Cost Approach is considered most applicable when the home is either a "new construction" or less than one year old as the land value and construction costs are considered the most consistent with the market relative to the age of the home, material costs, and competition.			Garage/Carport	Sq.Ft. @ \$	= \$		
Estimated Remaining Economic Life (HUD and VA only)			Total Estimate of Cost-New	= \$			
			Less	Physical	Functional	External	= \$()
			Depreciation			= \$()	
			Depreciated Cost of Improvements			= \$	
			"As-is" Value of Site Improvements			= \$	
			INDICATED VALUE BY COST APPROACH			= \$	

INCOME

INCOME APPROACH TO VALUE (not required by Fannie Mae)

Estimated Monthly Market Rent \$

X Gross Rent Multiplier

= \$

Indicated Value by Income Approach

Summary of Income Approach (including support for market rent and GRM)

PUD INFORMATION

PROJECT INFORMATION FOR PUDs (if applicable)

Is the developer/builder in control of the Homeowners' Association (HOA)?

☐ Yes

☒ No

Unit type(s)

☐ Detached

☒ Attached

Provide the following information for PUDs ONLY if the developer/builder is in control of the HOA and the subject property is an attached dwelling unit.

Legal Name of Project

Total number of phases

Total number of units

Total number of units sold

Total number of units rented

Total number of units for sale

Data source(s)

Was the project created by the conversion of existing building(s) into a PUD?

☐ Yes

☐ No

If Yes, date of conversion.

Does the project contain any multi-dwelling units?

☐ Yes

☐ No

Data Source

Are the units, common elements, and recreation facilities complete?

☐ Yes

☐ No

If No, describe the status of completion.

Are the common elements leased to or by the Homeowners' Association?

☐ Yes

☐ No

If Yes, describe the rental terms and options.

Describe common elements and recreational facilities.

Uniform Residential Appraisal Report

File # W23088

This report form is designed to report an appraisal of a one-unit property or a one-unit property with an accessory unit; including a unit in a planned unit development (PUD). This report form is not designed to report an appraisal of a manufactured home or a unit in a condominium or cooperative project.

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the intended use, intended user, definition of market value, or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to the certifications are also not permitted. However, additional certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

SCOPE OF WORK: The scope of work for this appraisal is defined by the complexity of this appraisal assignment and the reporting requirements of this appraisal report form, including the following definition of market value, statement of assumptions and limiting conditions, and certifications. The appraiser must, at a minimum: (1) perform a complete visual inspection of the interior and exterior areas of the subject property, (2) inspect the neighborhood, (3) inspect each of the comparable sales from at least the street, (4) research, verify, and analyze data from reliable public and/or private sources, and (5) report his or her analysis, opinions, and conclusions in this appraisal report.

INTENDED USE: The intended use of this appraisal report is for the lender/client to evaluate the property that is the subject of this appraisal for a mortgage finance transaction.

INTENDED USER: The intended user of this appraisal report is the lender/client.

DEFINITION OF MARKET VALUE: The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller, each acting prudently, knowledgeably and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U. S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for those costs which are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable since the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar for dollar cost of the financing or concession but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

STATEMENT OF ASSUMPTIONS AND LIMITING CONDITIONS: The appraiser's certification in this report is subject to the following assumptions and limiting conditions:

1. The appraiser will not be responsible for matters of a legal nature that affect either the property being appraised or the title to it, except for information that he or she became aware of during the research involved in performing this appraisal. The appraiser assumes that the title is good and marketable and will not render any opinions about the title.
2. The appraiser has provided a sketch in this appraisal report to show the approximate dimensions of the improvements. The sketch is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.
3. The appraiser has examined the available flood maps that are provided by the Federal Emergency Management Agency (or other data sources) and has noted in this appraisal report whether any portion of the subject site is located in an identified Special Flood Hazard Area. Because the appraiser is not a surveyor, he or she makes no guarantees, express or implied, regarding this determination.
4. The appraiser will not give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.
5. The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) observed during the inspection of the subject property or that he or she became aware of during the research involved in performing the appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and has assumed that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.
6. The appraiser has based his or her appraisal report and valuation conclusion for an appraisal that is subject to satisfactory completion, repairs, or alterations on the assumption that the completion, repairs, or alterations of the subject property will be performed in a professional manner.

Uniform Residential Appraisal Report

File # W23088

APPRAISER'S CERTIFICATION: The Appraiser certifies and agrees that:

1. I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.
2. I performed a complete visual inspection of the interior and exterior areas of the subject property. I reported the condition of the improvements in factual, specific terms. I identified and reported the physical deficiencies that could affect the livability, soundness, or structural integrity of the property.
3. I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was prepared.
4. I developed my opinion of the market value of the real property that is the subject of this report based on the sales comparison approach to value. I have adequate comparable market data to develop a reliable sales comparison approach for this appraisal assignment. I further certify that I considered the cost and income approaches to value but did not develop them, unless otherwise indicated in this report.
5. I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal, unless otherwise indicated in this report.
6. I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale, unless otherwise indicated in this report.
7. I selected and used comparable sales that are locationally, physically, and functionally the most similar to the subject property.
8. I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.
9. I have reported adjustments to the comparable sales that reflect the market's reaction to the differences between the subject property and the comparable sales.
10. I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.
11. I have knowledge and experience in appraising this type of property in this market area.
12. I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records and other such data sources for the area in which the property is located.
13. I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.
14. I have taken into consideration the factors that have an impact on value with respect to the subject neighborhood, subject property, and the proximity of the subject property to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) observed during the inspection of the subject property or that I became aware of during the research involved in performing this appraisal. I have considered these adverse conditions in my analysis of the property value, and have reported on the effect of the conditions on the value and marketability of the subject property.
15. I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.
16. I stated in this appraisal report my own personal, unbiased, and professional analysis, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.
17. I have no present or prospective interest in the property that is the subject of this report, and I have no present or prospective personal interest or bias with respect to the participants in the transaction. I did not base, either partially or completely, my analysis and/or opinion of market value in this appraisal report on the race, color, religion, sex, age, marital status, handicap, familial status, or national origin of either the prospective owners or occupants of the subject property or of the present owners or occupants of the properties in the vicinity of the subject property or on any other basis prohibited by law.
18. My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analysis supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).
19. I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. If I relied on significant real property appraisal assistance from any individual or individuals in the performance of this appraisal or the preparation of this appraisal report, I have named such individual(s) and disclosed the specific tasks performed in this appraisal report. I certify that any individual so named is qualified to perform the tasks. I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.
20. I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

Uniform Residential Appraisal Report

File # W23088

21. The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions; without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Such consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media).

22. I am aware that any disclosure or distribution of this appraisal report by me or the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

23. The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties.

24. If this appraisal report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this appraisal report containing a copy or representation of my signature, the appraisal report shall be as effective, enforceable and valid as if a paper version of this appraisal report were delivered containing my original hand written signature.

25. Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

SUPERVISORY APPRAISER'S CERTIFICATION: The Supervisory Appraiser certifies and agrees that:

1. I directly supervised the appraiser for this appraisal assignment, have read the appraisal report, and agree with the appraiser's analysis, opinions, statements, conclusions, and the appraiser's certification.
2. I accept full responsibility for the contents of this appraisal report including, but not limited to, the appraiser's analysis, opinions, statements, conclusions, and the appraiser's certification.
3. The appraiser identified in this appraisal report is either a sub-contractor or an employee of the supervisory appraiser (or the appraisal firm), is qualified to perform this appraisal, and is acceptable to perform this appraisal under the applicable state law.
4. This appraisal report complies with the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was prepared.
5. If this appraisal report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this appraisal report containing a copy or representation of my signature, the appraisal report shall be as effective, enforceable and valid as if a paper version of this appraisal report were delivered containing my original hand written signature.



APPRAISER

Signature Ted M. Williams
 Name Ted Williams
 Company Name Williams Appraisal Service, Inc.
 Company Address 304 Gethsemane Rd
Olin, NC 28660-3001
 Telephone Number 704-450-4725
 Email Address williamsappraisals@outlook.com
 Date of Signature and Report 03/28/2023
 Effective Date of Appraisal 03/27/2023
 State Certification # A4979
 or State License # _____
 or Other (describe) _____ State # _____
 State NC
 Expiration Date of Certification or License 06/30/2023

ADDRESS OF PROPERTY APPRAISED

117 Synandra Dr Unit C
Mooreville, NC 28117
 APPRAISED VALUE OF SUBJECT PROPERTY \$ 351,000

LENDER/CLIENT

Name No AMC
 Company Name Highlands Residential Mortgage
 Company Address 950 W Bethany Dr, Suite 800, Allen, TX 75013
 Email Address _____

SUPERVISORY APPRAISER (ONLY IF REQUIRED)

Signature _____
 Name _____
 Company Name _____
 Company Address _____
 Telephone Number _____
 Email Address _____
 Date of Signature _____
 State Certification # _____
 or State License # _____
 State _____
 Expiration Date of Certification or License _____

SUBJECT PROPERTY

- ☐ Did not inspect subject property
☐ Did inspect exterior of subject property from street
 Date of Inspection _____
☐ Did inspect interior and exterior of subject property
 Date of Inspection _____

COMPARABLE SALES

- ☐ Did not inspect exterior of comparable sales from street
☐ Did inspect exterior of comparable sales from street
 Date of Inspection _____

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooreville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				

• **Comparable Summary**
Comparables Summary & Estimated Indicated Value

	Sale Price	Net Adj %	Grs Adj %	Ind Value	Weight
Comp #1:	342,000	0	0	342,000	50
Comp #2:	357,000	0.7	0.7	354,500	0
Comp #3:	360,000	0	0	360,000	50

ESTIMATED INDICATED VALUE OF THE SUBJECT: 351,000

• **Indicated Weight Value**
Estimated indicated value is determined by using the Gross Adjustment of sale price for each comparable as a measure of the relative quality of the comp. The Indicated Value is derived by multiplying the weight of each comp by the Adjusted Sale Price of that comp, repeating for each property, then adding them all together. This weighted average is used as the indicated value of the subject.

As with any method, this technique is not perfect. However, it does do a very good job of giving more weight to the most similar comps while at the same time minimizing values near the extremes of the indicated value range.

Market Conditions Addendum to the Appraisal Report

File No. W23088

MARKET RESEARCH & ANALYSIS

The purpose of this addendum is to provide the lender/client with a clear and accurate understanding of the market trends and conditions prevalent in the subject neighborhood. This is a required addendum for all appraisal reports with an effective date on or after April 1, 2009.

Property Address	117 Synandra Dr Unit C	City	Mooresville	State	NC	ZIP Code	28117
Borrower	Selvakumar Sembaiyan						

Instructions: The appraiser must use the information required on this form as the basis for his/her conclusions, and must provide support for those conclusions, regarding housing trends and overall market conditions as reported in the Neighborhood section of the appraisal report form. The appraiser must fill in all the information to the extent it is available and reliable and must provide analysis as indicated below. If any required data is unavailable or is considered unreliable, the appraiser must provide an explanation. It is recognized that not all data sources will be able to provide data for the shaded areas below; if it is available, however, the appraiser must include the data in the analysis. If data sources provide the required information as an average instead of the median, the appraiser should report the available figure and identify it as an average. Sales and listings must be properties that compete with the subject property, determined by applying the criteria that would be used by a prospective buyer of the subject property. The appraiser must explain any anomalies in the data, such as seasonal markets, new construction, foreclosures, etc.

Inventory Analysis	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Total # of Comparable Sales (Settled)	3	1	1	☐ Increasing	☒ Stable	☐ Declining
Absorption Rate (Total Sales/Months)	0.50	0.33	0.33	☐ Increasing	☒ Stable	☐ Declining
Total # of Comparable Active Listings	1	0	1	☐ Declining	☒ Stable	☐ Increasing
Months of Housing Supply (Total Listings/Ab.Rate)	2.0	0	3.0	☐ Declining	☒ Stable	☐ Increasing
Median Sale & List Price, DOM, Sale/List %	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Median Comparable Sale Price	360,000	330,000	342,000	☐ Increasing	☒ Stable	☐ Declining
Median Comparable Sales Days on Market	11	28	6	☐ Declining	☒ Stable	☐ Increasing
Median Comparable List Price	334,000	0	330,000	☐ Increasing	☒ Stable	☐ Declining
Median Comparable Listings Days on Market	28	0	2	☐ Declining	☒ Stable	☐ Increasing
Median Sale Price as % of List Price	100.84	98.80	99.13	☐ Increasing	☒ Stable	☐ Declining
Seller-(developer, builder, etc.)paid financial assistance prevalent?				☒ Yes	☐ No	
Explain in detail the seller concessions trends for the past 12 months (e.g., seller contributions increased from 3% to 5%, increasing use of buydowns, closing costs, condo fees, options, etc.).				Your appraiser has seen no significant increase or decrease in seller paid concessions of comparable properties in the subject neighborhood.		
Are foreclosure sales (REO sales) a factor in the market?						
☐ Yes ☒ No If yes, explain (including the trends in listings and sales of foreclosed properties).						
Cite data sources for above information.						
Carolina Multiple Listing Service, Public records						
Summarize the above information as support for your conclusions in the Neighborhood section of the appraisal report form. If you used any additional information, such as an analysis of pending sales and/or expired and withdrawn listings, to formulate your conclusions, provide both an explanation and support for your conclusions.						
The sales and listing above are a result of a search of the subject's competitive market area and are the most similar in the neighborhood.						
The overall trends reported above indicated a relatively stable trend in the last 12 months for properties comparable to the subject; however, this is not conclusive evidence that all other properties in the neighborhood are mirroring the trend of property that is comparable to the subject. The Median Sale Price as % of List Price is to be determined by analyzing the comparables that have sold and settled during the specific time frame, not by using the data from the lines above this section on the form according to Fannie Mae Frequently Asked Questions (FAQS) updated March, 2009.						

CONDO/CO-OP PROJECTS

If the subject is a unit in a condominium or cooperative project , complete the following:

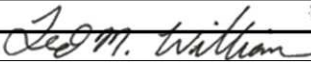
Subject Project Data	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend		
Total # of Comparable Sales (Settled)				☐ Increasing	☐ Stable	☐ Declining
Absorption Rate (Total Sales/Months)				☐ Increasing	☐ Stable	☐ Declining
Total # of Active Comparable Listings				☐ Declining	☐ Stable	☐ Increasing
Months of Unit Supply (Total Listings/Ab.Rate)				☐ Declining	☐ Stable	☐ Increasing

Are foreclosure sales (REO sales) a factor in the project?

☐ Yes ☐ No If yes, indicate the number of REO listings and explain the trends in listings and sales of foreclosed properties.

Summarize the above trends and address the impact on the subject unit and project.

APPRaiser

Signature		Signature	
Appraiser Name	Ted Williams	Supervisory Appraiser Name	
Company Name	Williams Appraisal Service, Inc.	Company Name	
Company Address	304 Gethsemane Rd, Olin, NC 28660-3001	Company Address	
State License/Certification #	A4979 State NC	State License/Certification #	State
Email Address	williamsappraisals@outlook.com	Email Address	



Freddie Mac Form 71 March 2009

Page 1 of 1

Fannie Mae Form 1004MC March 2009

Form 1004MC2 - "TOTAL" appraisal software by a la mode, inc. - 1-800-ALAMODE

Supplemental Addendum

File No. W23088

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				

Your appraiser is not qualified or certified as an inspector for the adequacy and conditions of the mechanical, electrical, plumbing and structural conditions of any dwelling. Your appraiser assumes that all mechanical, electrical, plumbing and structural portions of this dwelling have no adverse conditions unless otherwise noted. Your appraiser assumes no liability for infestation past, present or future. Unless otherwise noted, the subject property has no readily apparent infestation. Your appraiser is not a qualified or certified inspector for termites or other pests.

Your appraiser is not qualified or certified to determine if the subject property is in compliance with local and state building codes. Repairs or inspections may be required if excessive wear and tear would affect the health or safety of the occupants or jeopardize the security interest of the lender.

No title exam was made on the subject property. A physical survey of the subject property is needed to determine the exact location of easements, encroachments or flood plain boundaries. A survey is also needed to determine adequate road frontage, site, size, and shape. A current physical survey with building footprint is needed to determine an adequate building envelope. Your appraiser reserves the right to examine a survey when a well is used as a water source. If there is a private septic system, your appraiser is working under the assumption that a septic system serving an existing structure is located on the subject property. A survey would be needed to determine the exact location of the septic tank and related drain lines. If it is found that the septic system is not located on the subject property, your appraiser reserves the right to modify the appraisal report. The well could be located off the site which would require water rights. Also, your appraiser reserves the right to review a survey to make sure the improvements being appraised are actually on the site being appraised. Tax services, MLS, internet, or other sources may be utilized as a source for comparable photos. The scope of work on page four of the URAR form states that the comparables were viewed from the street and is not able to be redacted. However, in many cases this is not possible due to private roads, gated communities, limited access, obscured views, lender requirements, etc. Due to these issues, among others, your appraiser may or may not have viewed the comparables from the street. The acreage represented on this appraisal report is an approximation. Your appraiser assumes that the subject dwelling and any modifications were properly permitted and meet all state and local building codes. If it is found that this is not the case, your appraiser reserves the right to modify this report.

ENVIRONMENTAL

Your appraiser is not qualified to determine if a house built before 1978 has lead based paint or if a dwelling has asbestos active or inactive within the dwelling or outbuildings. Your appraiser is not responsible for buried oil tanks, buried debris or any other environmental conditions which can not be seen or noted reasonably with the naked eye.

MEASUREMENTS

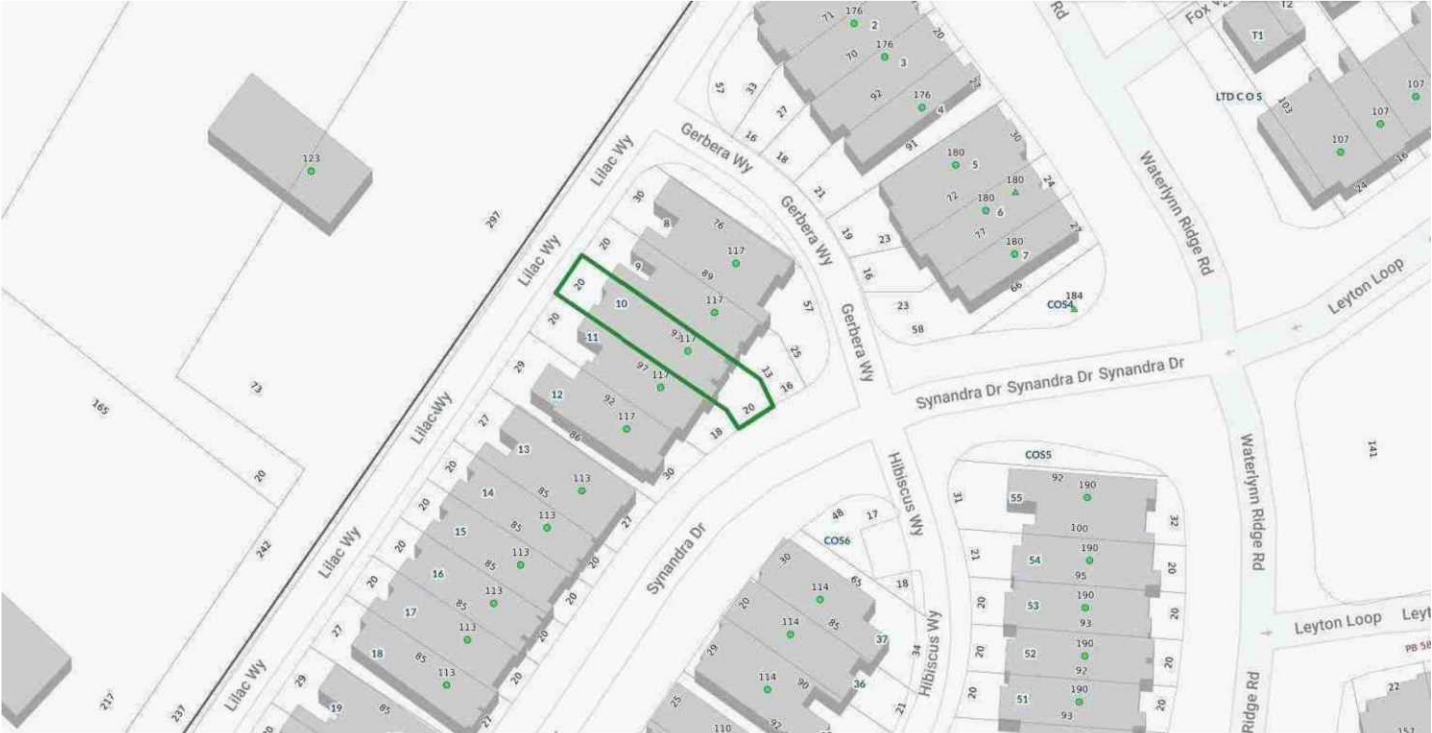
The enclosed sketch is based on ANSI Z765-2021. The GLA measurements and calculations contained within the sketch file were created by onsite measurements. The measurements are reported to the nearest tenth of a foot (or nearest inch) and rounded to the nearest whole foot. If there is below-grade space: ANSI requires a clear and separate distinction of above-grade and below-grade areas.

VACANT/IMPROVED LAND

The client should be cautioned that land which has no public water or sewer, must have a private sewer system, septic system and a well or private legal water rights if the property is or will be improved with a house. The client should be cautioned that in order to get a septic system a permit must be given from the county in which the home or septic system is located. The client should be cautioned that not all vacant land will receive a permit because the land may not perk. If this is the case, your appraiser reserves the right to change the value of the report. Also, if the placement of the septic system on the lot restricts the placement of the house, your appraiser reserves the right to adjust the value.

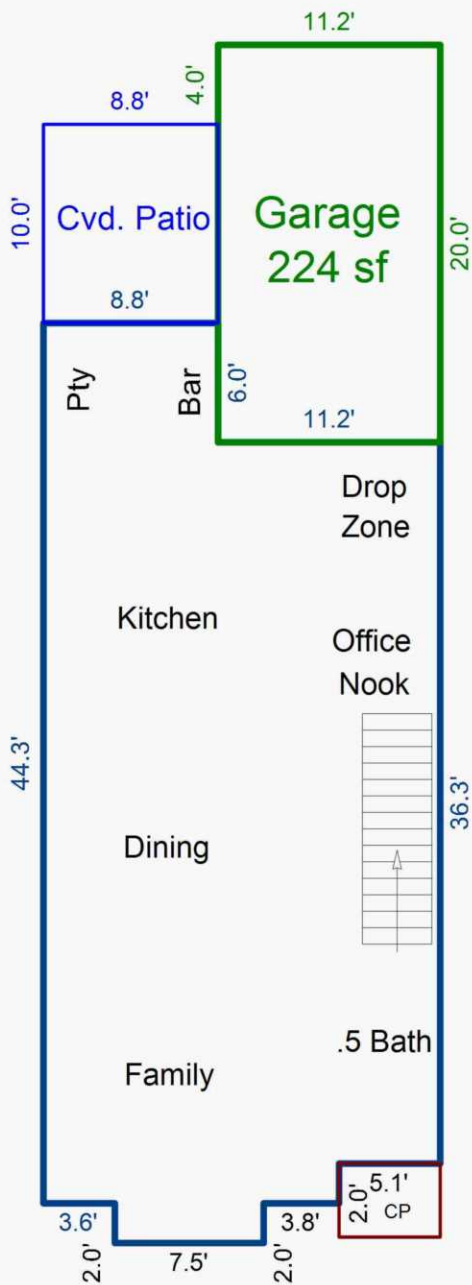
Plat Map

Borrower	Selvakumar Sembaiyan					
Property Address	117 Synandra Dr Unit C					
City	Mooresville	County	Iredell	State	NC	Zip Code 28117
Lender/Client	Highlands Residential Mortgage					

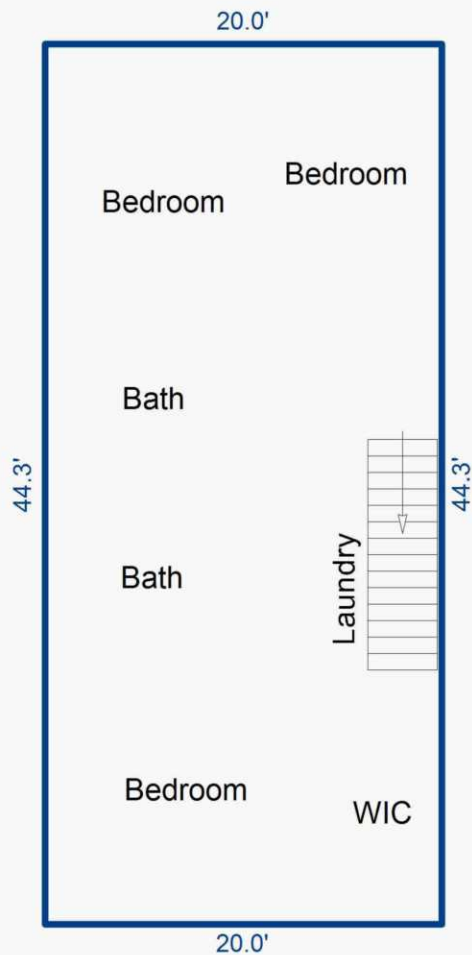


Building Sketch

Borrower	Selvakumar Sembaiyan						
Property Address	117 Synandra Dr Unit C						
City	Mooresville	County	Iredell	State	NC	Zip Code	28117
Lender/Client	Highlands Residential Mortgage						



First Floor
823.6 sf



Second Floor
886 sf

[illegible]

Subject Photo Page

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				



Subject Front

117 Synandra Dr Unit C
Sales Price 348,000
Gross Living Area 1,710
Total Rooms 6
Total Bedrooms 3
Total Bathrooms 2.1
Location N;Res;
View N;Res;
Site 2022 sf
Quality Q3
Age 3



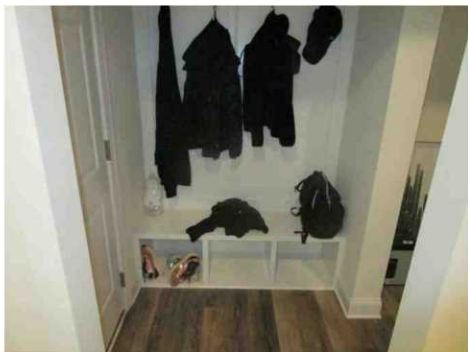
Subject Rear



Subject Street

Photograph Addendum

Borrower	Selvakumar Sembaiyan					
Property Address	117 Synandra Dr Unit C					
City	Mooresville	County	Iredell	State	NC	Zip Code 28117
Lender/Client	Highlands Residential Mortgage					



Drop Zone



Office Nook



Kitchen



Dining



Family



.5 Bath



Bedroom



Bedroom



Bath



M Bedroom



M Bath



Laundry

Comparable Photo Page

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC Zip Code 28117
Lender/Client	Highlands Residential Mortgage				



Comparable 1

117 Synandra Dr Unit B	
Prox. to Subject	0.00 miles
Sale Price	342,000
Gross Living Area	1,694
Total Rooms	6
Total Bedrooms	3
Total Bathrooms	2.1
Location	N;Res;
View	N;Res;
Site	1882 sf
Quality	Q3
Age	3



Comparable 2

114 Synandra Dr Unit B	
Prox. to Subject	0.02 miles S
Sale Price	357,000
Gross Living Area	1,690
Total Rooms	6
Total Bedrooms	3
Total Bathrooms	2.1
Location	N;Res;
View	N;Res;
Site	1803 sf
Quality	Q3
Age	2



Comparable 3

113 Synandra Dr Unit D	
Prox. to Subject	0.02 miles SW
Sale Price	360,000
Gross Living Area	1,675
Total Rooms	6
Total Bedrooms	3
Total Bathrooms	2.1
Location	N;Res;
View	N;Res;
Site	1690 sf
Quality	Q3
Age	2

Location Map

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC
Lender/Client	Highlands Residential Mortgage				
				Zip Code	28117



Aerial Map

Borrower	Selvakumar Sembaiyan				
Property Address	117 Synandra Dr Unit C				
City	Mooresville	County	Iredell	State	NC
Lender/Client	Highlands Residential Mortgage				
				Zip Code	28117



License



NORTH CAROLINA
APPRAISAL BOARD

APPRAISER QUALIFICATION CARD

REGISTRATION / LICENSE / CERTIFICATE HOLDER

22

TED M WILLIAMS

23

A4979

APPRAISER NUMBER

C

TYPE

Y

NATIONAL REGISTRY

Ted M. Williams

Appraiser's Signature

[Signature]

Executive Director

EXPIRES JUNE 30, 2023

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM

(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Condition Ratings and Definitions

C1

The improvements have been recently constructed and have not been previously occupied. The entire structure and all components are new and the dwelling features no physical depreciation.

Note: Newly constructed improvements that feature recycled or previously used materials and/or components can be considered new dwellings provided that the dwelling is placed on a 100 percent new foundation and the recycled materials and the recycled components have been rehabilitated/remanufactured into like-new condition. Improvements that have not been previously occupied are not considered "new" if they have any significant physical depreciation (that is, newly constructed dwellings that have been vacant for an extended period of time without adequate maintenance or upkeep).

C2

The improvements feature no deferred maintenance, little or no physical depreciation, and require no repairs. Virtually all building components are new or have been recently repaired, refinished, or rehabilitated. All outdated components and finishes have been updated and/or replaced with components that meet current standards. Dwellings in this category are either almost new or have been recently completely renovated and are similar in condition to new construction.

Note: The improvements represent a relatively new property that is well maintained with no deferred maintenance and little or no physical depreciation, or an older property that has been recently completely renovated.

C3

The improvements are well maintained and feature limited physical depreciation due to normal wear and tear. Some components, but not every major building component, may be updated or recently rehabilitated. The structure has been well maintained.

Note: The improvement is in its first-cycle of replacing short-lived building components (appliances, floor coverings, HVAC, etc.) and is being well maintained. Its estimated effective age is less than its actual age. It also may reflect a property in which the majority of short-lived building components have been replaced but not to the level of a complete renovation.

C4

The improvements feature some minor deferred maintenance and physical deterioration due to normal wear and tear. The dwelling has been adequately maintained and requires only minimal repairs to building components/mechanical systems and cosmetic repairs. All major building components have been adequately maintained and are functionally adequate.

Note: The estimated effective age may be close to or equal to its actual age. It reflects a property in which some of the short-lived building components have been replaced, and some short-lived building components are at or near the end of their physical life expectancy; however, they still function adequately. Most minor repairs have been addressed on an ongoing basis resulting in an adequately maintained property.

C5

The improvements feature obvious deferred maintenance and are in need of some significant repairs. Some building components need repairs, rehabilitation, or updating. The functional utility and overall livability is somewhat diminished due to condition, but the dwelling remains useable and functional as a residence.

Note: Some significant repairs are needed to the improvements due to the lack of adequate maintenance. It reflects a property in which many of its short-lived building components are at the end of or have exceeded their physical life expectancy but remain functional.

C6

The improvements have substantial damage or deferred maintenance with deficiencies or defects that are severe enough to affect the safety, soundness, or structural integrity of the improvements. The improvements are in need of substantial repairs and rehabilitation, including many or most major components.

Note: Substantial repairs are needed to the improvements due to the lack of adequate maintenance or property damage. It reflects a property with conditions severe enough to affect the safety, soundness, or structural integrity of the improvements.

Quality Ratings and Definitions

Q1

Dwellings with this quality rating are usually unique structures that are individually designed by an architect for a specified user. Such residences typically are constructed from detailed architectural plans and specifications and feature an exceptionally high level of workmanship and exceptionally high-grade materials throughout the interior and exterior of the structure. The design features exceptionally high-quality exterior refinements and ornamentation, and exceptionally high-quality interior refinements. The workmanship, materials, and finishes throughout the dwelling are of exceptionally high quality.

Q2

Dwellings with this quality rating are often custom designed for construction on an individual property owner's site. However, dwellings in this quality grade are also found in high-quality tract developments featuring residence constructed from individual plans or from highly modified or upgraded plans. The design features detailed, high quality exterior ornamentation, high-quality interior refinements, and detail. The workmanship, materials, and finishes throughout the dwelling are generally of high or very high quality.

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM
(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Quality Ratings and Definitions (continued)

Q3

Dwellings with this quality rating are residences of higher quality built from individual or readily available designer plans in above-standard residential tract developments or on an individual property owner’s site. The design includes significant exterior ornamentation and interiors that are well finished. The workmanship exceeds acceptable standards and many materials and finishes throughout the dwelling have been upgraded from “stock” standards.

Q4

Dwellings with this quality rating meet or exceed the requirements of applicable building codes. Standard or modified standard building plans are utilized and the design includes adequate fenestration and some exterior ornamentation and interior refinements. Materials, workmanship, finish, and equipment are of stock or builder grade and may feature some upgrades.

Q5

Dwellings with this quality rating feature economy of construction and basic functionality as main considerations. Such dwellings feature a plain design using readily available or basic floor plans featuring minimal fenestration and basic finishes with minimal exterior ornamentation and limited interior detail. These dwellings meet minimum building codes and are constructed with inexpensive, stock materials with limited refinements and upgrades.

Q6

Dwellings with this quality rating are of basic quality and lower cost; some may not be suitable for year-round occupancy. Such dwellings are often built with simple plans or without plans, often utilizing the lowest quality building materials. Such dwellings are often built or expanded by persons who are professionally unskilled or possess only minimal construction skills. Electrical, plumbing, and other mechanical systems and equipment may be minimal or non-existent. Older dwellings may feature one or more substandard or non-conforming additions to the original structure

Definitions of Not Updated, Updated, and Remodeled

Not Updated

Little or no updating or modernization. This description includes, but is not limited to, new homes.
Residential properties of fifteen years of age or less often reflect an original condition with no updating, if no major components have been replaced or updated. Those over fifteen years of age are also considered not updated if the appliances, fixtures, and finishes are predominantly dated. An area that is 'Not Updated' may still be well maintained and fully functional, and this rating does not necessarily imply deferred maintenance or physical/functional deterioration.

Updated

The area of the home has been modified to meet current market expectations. These modifications are limited in terms of both scope and cost.
An updated area of the home should have an improved look and feel, or functional utility. Changes that constitute updates include refurbishment and/or replacing components to meet existing market expectations. Updates do not include significant alterations to the existing structure.

Remodeled

Significant finish and/or structural changes have been made that increase utility and appeal through complete replacement and/or expansion.
A remodeled area reflects fundamental changes that include multiple alterations. These alterations may include some or all of the following: replacement of a major component (cabinet(s), bathtub, or bathroom tile), relocation of plumbing/gas fixtures/appliances, significant structural alterations (relocating walls, and/or the addition of) square footage). This would include a complete gutting and rebuild.

Explanation of Bathroom Count

Three-quarter baths are counted as a full bath in all cases. Quarter baths (baths that feature only a toilet) are not included in the bathroom count. The number of full and half baths is reported by separating the two values using a period, where the full bath count is represented to the left of the period and the half bath count is represented to the right of the period.

Example:
3.2 indicates three full baths and two half baths.

UNIFORM APPRAISAL DATASET (UAD) DEFINITIONS ADDENDUM
(Source: Fannie Mae UAD Appendix D: UAD Field-Specific Standardization Requirements)

Abbreviations Used in Data Standardization Text

Abbreviation	Full Name	Fields Where This Abbreviation May Appear
A	Adverse	Location & View
ac	Acres	Area, Site
AdjPrk	Adjacent to Park	Location
AdjPwr	Adjacent to Power Lines	Location
Armlth	Arms Length Sale	Sale or Financing Concessions
AT	Attached Structure	Design (Style)
B	Beneficial	Location & View
ba	Bathroom(s)	Basement & Finished Rooms Below Grade
br	Bedroom	Basement & Finished Rooms Below Grade
BsyRd	Busy Road	Location
c	Contracted Date	Date of Sale/Time
Cash	Cash	Sale or Financing Concessions
Comm	Commercial Influence	Location
Conv	Conventional	Sale or Financing Concessions
cp	Carport	Garage/Carport
CrtOrd	Court Ordered Sale	Sale or Financing Concessions
CtySky	City View Skyline View	View
CtyStr	City Street View	View
cv	Covered	Garage/Carport
DOM	Days On Market	Data Sources
DT	Detached Structure	Design (Style)
dw	Driveway	Garage/Carport
e	Expiration Date	Date of Sale/Time
Estate	Estate Sale	Sale or Financing Concessions
FHA	Federal Housing Authority	Sale or Financing Concessions
g	Garage	Garage/Carport
ga	Attached Garage	Garage/Carport
gbi	Built-in Garage	Garage/Carport
gd	Detached Garage	Garage/Carport
GlfCse	Golf Course	Location
Glfvw	Golf Course View	View
GR	Garden	Design (Style)
HR	High Rise	Design (Style)
in	Interior Only Stairs	Basement & Finished Rooms Below Grade
Ind	Industrial	Location & View
Listing	Listing	Sale or Financing Concessions
Lndfl	Landfill	Location
LtdSght	Limited Sight	View
MR	Mid-rise	Design (Style)
Mtn	Mountain View	View
N	Neutral	Location & View
NonArm	Non-Arms Length Sale	Sale or Financing Concessions
o	Other	Basement & Finished Rooms Below Grade
O	Other	Design (Style)
op	Open	Garage/Carport
Prk	Park View	View
Pstrl	Pastoral View	View
PwrLn	Power Lines	View
PubTrn	Public Transportation	Location
Relo	Relocation Sale	Sale or Financing Concessions
REO	REO Sale	Sale or Financing Concessions
Res	Residential	Location & View
RH	USDA - Rural Housing	Sale or Financing Concessions
rr	Recreational (Rec) Room	Basement & Finished Rooms Below Grade
RT	Row or Townhouse	Design (Style)
s	Settlement Date	Date of Sale/Time
SD	Semi-detached Structure	Design (Style)
Short	Short Sale	Sale or Financing Concessions
sf	Square Feet	Area, Site, Basement
sqm	Square Meters	Area, Site
Unk	Unknown	Date of Sale/Time
VA	Veterans Administration	Sale or Financing Concessions
w	Withdrawn Date	Date of Sale/Time
wo	Walk Out Basement	Basement & Finished Rooms Below Grade
Woods	Woods View	View
Wtr	Water View	View
WtrFr	Water Frontage	Location
wu	Walk Up Basement	Basement & Finished Rooms Below Grade